ECONOMY 16 | INDUSTRIAL POLICY, 1991 REFORMS, CPSEs & DISINVESTMENT

01. POLICY EVOLUTION

1948 mixed economy -> 1956 commanding heights -> 1980s flexibility -> 1991 reform.

POLICY -> MECHANISM -> QUALIFICATION

02. PRE-1991 REGIME

IDR licensing + import/forex control + public reservation + MRTP scrutiny.

POLICY -> MECHANISM -> QUALIFICATION

03. 1991 CRISIS

Balance-of-payments pressure triggered stabilisation and structural reform.

POLICY -> MECHANISM -> QUALIFICATION

04. NIP PILLARS

Delicensing + PSU reservation reduction + MRTP change + FDI/technology opening.

POLICY -> MECHANISM -> QUALIFICATION

05. CURRENT LICENSING

Four licensed categories; Atomic Energy and core Railway operations reserved with notified exceptions.

POLICY -> MECHANISM -> QUALIFICATION

06. LPG DISTINCTIONS

Liberalisation != Privatisation != Globalisation != Deregulation.

POLICY -> MECHANISM -> QUALIFICATION

07. CPSE GOVERNANCE

Owner + board + DPE + DIPAM + CAG/Parliament + regulator.

POLICY -> MECHANISM -> QUALIFICATION

08. RATNA MAP

Maharatna, Navratna and Miniratna delegate autonomy under current criteria.

POLICY -> MECHANISM -> QUALIFICATION

09. DISINVESTMENT

Minority sale retains control; strategic sale transfers management control.

POLICY -> MECHANISM -> QUALIFICATION

10. PSE POLICY 2021

Four strategic groups; bare minimum State commercial presence.

POLICY -> MECHANISM -> QUALIFICATION

11. COMPETITION / EXIT

CCI controls conduct/combinations; IBC provides resolution and liquidation.

POLICY -> MECHANISM -> QUALIFICATION

12. REFORM VERDICT

Competition + capability + accountability + transition + review.

POLICY -> MECHANISM -> QUALIFICATION